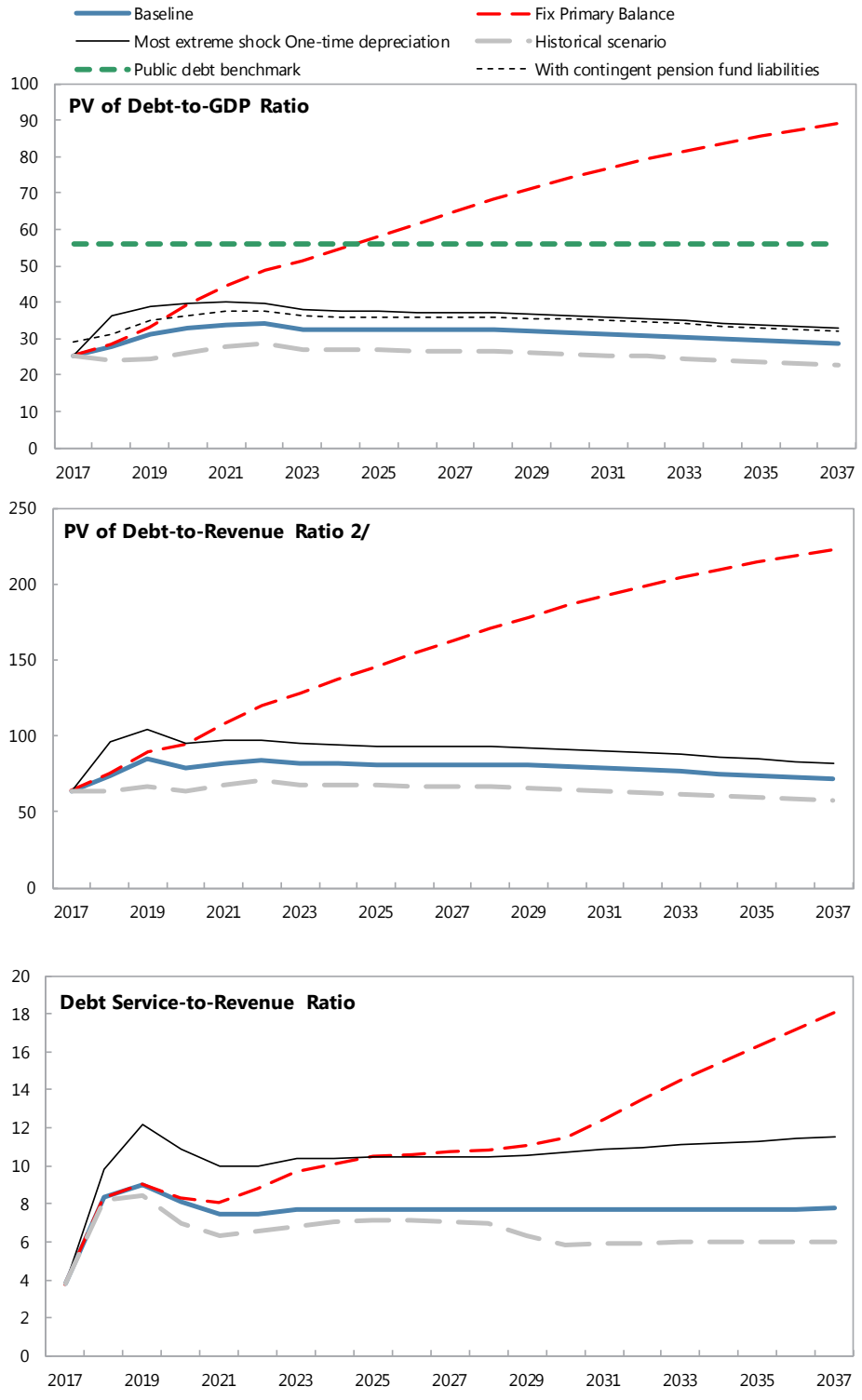
Figure 2. Lesotho: Indicator of Public Debt Under Alternative Scenarios, 2017–37[1/]



Sources: Country auhtorities and IMF staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2027.
2/ Revenues are defined inclusive of grants.

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Table 3. Lesotho: Public Sector Debt Sustainability Framework, Baseline Scenario, 2014–37

(In percent of GDP, unless otherwise indicated)

	Actual			Average 5/	Standard Deviation 5/	Estimate	Projections								
	2014	2015	2016			2017	2018	2019	2020	2021	2022	2017-22 Average	2027	2037	2023-37 Average
Public sector debt 1/	36.9	41.3	35.4			35.4	38.8	43.2	45.3	46.2	46.4		42.9	36.3	
of which: foreign-currency denominated	34.3	38.3	32.3			31.4	33.3	34.9	35.9	35.7	35.5		32.7	25.2	
Change in public sector debt	-0.5	4.4	-5.8			0.0	3.4	4.4	2.2	0.9	0.2		-0.5	-0.6	
Identified debt-creating flows	-0.7	4.0	0.4			3.7	3.5	2.9	-2.3	-2.8	-3.0		-1.9	-1.6	
Primary deficit	-1.0	0.2	5.4	-0.6	6.1	5.7	4.5	3.9	-1.7	-1.5	-1.5	1.6	-0.7	-0.6	-0.6
Revenue and grants	49.8	47.2	40.9			39.8	37.8	37.0	41.6	41.2	40.7		39.9	39.9	
of which: grants	1.7	3.0	2.5			2.1	2.1	2.0	2.0	1.9	1.8		1.8	1.8	
Primary (noninterest) expenditure	48.8	47.4	46.4			45.5	42.3	40.9	39.9	39.7	39.2		39.3	39.3	
Automatic debt dynamics	0.3	3.8	-5.0			-2.0	-1.0	-0.9	-0.6	-1.4	-1.5		-1.3	-1.0	
Contribution from interest rate/growth differential	-1.3	-0.7	-0.8			-1.0	-0.6	-0.9	-0.8	-1.7	-1.9		-1.3	-1.0	
of which: contribution from average real interest rate	-0.2	0.2	0.4			0.0	0.0	0.1	0.1	0.2	0.2		0.2	0.2	
of which: contribution from real GDP growth	-1.1	-0.9	-1.2			-1.1	-0.6	-1.0	-0.9	-1.9	-2.1		-1.5	-1.3	
Contribution from real exchange rate depreciation	1.5	4.5	-4.2			-0.9	-0.4	0.0	0.2	0.3	0.4		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	0.3	0.4	-6.3			-3.7	-0.1	1.4	4.4	3.7	3.2		1.4	1.0	
Other Sustainability Indicators															
PV of public sector debt	...	...	24.9			25.3	27.8	31.3	33.0	33.8	34.0		32.4	28.5	
of which: foreign-currency denominated	...	...	21.8			21.3	22.3	23.0	23.6	23.3	23.1		22.2	17.3	
of which: external	...	...	21.8			21.3	22.3	23.0	23.6	23.3	23.1		22.2	17.3	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	0.7	2.3	7.7			7.2	7.6	7.2	1.7	1.6	1.5		2.4	2.5	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	60.9			63.7	73.4	84.6	79.2	82.2	83.6		81.2	71.4	
PV of public sector debt-to-revenue ratio (in percent)	...	...	64.9			67.3	77.6	89.5	83.1	86.1	87.4		85.1	74.7	
of which: external 3/	...	...	56.7			56.5	62.3	65.7	59.4	59.4	59.3		58.3	45.4	
Debt service-to-revenue and grants ratio (in percent) 4/	3.3	4.4	5.5			3.8	8.3	9.0	8.1	7.5	7.5		7.7	7.7	
Debt service-to-revenue ratio (in percent) 4/	3.4	4.7	5.8			4.0	8.8	9.5	8.5	7.8	7.8		8.1	8.1	
Primary deficit that stabilizes the debt-to-GDP ratio	-0.5	-4.2	11.3			5.7	1.1	-0.5	-3.8	-2.3	-1.7		-0.1	0.1	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	3.0	2.5	3.1	4.1	1.7	3.1	1.7	2.6	2.1	4.4	4.7	3.1	3.5	3.5	3.4
Average nominal interest rate on forex debt (in percent)	1.4	1.7	1.7	1.4	0.2	1.7	1.7	1.5	1.5	1.4	1.4	1.5	1.1	0.8	1.0
Average real interest rate on domestic debt (in percent)	-2.6	1.2	7.6	3.1	3.9	3.4	3.9	4.3	3.9	4.3	3.9	3.9	4.8	4.8	4.6
Real exchange rate depreciation (in percent, + indicates depreciation)	4.6	13.2	-11.2	1.5	13.4	-3.0	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	12.0	8.0	2.8	6.6	3.6	6.5	5.9	5.5	5.3	5.0	4.9	5.5	5.0	5.0	5.1
Growth of real primary spending (deflated by GDP deflator, in percent)	-5.6	-0.5	0.8	-0.5	1.9	1.1	-5.4	-0.9	-0.3	3.8	3.5	0.3	3.5	3.5	3.5
Grant element of new external borrowing (in percent)	...	...	...	...	...	42.3	42.3	42.3	42.3	42.3	42.3	42.3	42.3	42.3	...

Sources: Country authorities; and staff estimates and projections.

1/ [Indicate coverage of public sector, e.g., general government or nonfinancial public sector. Also whether net or gross debt is used.]

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

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Table 4. Lesotho: Sensitivity Analysis for Key Indicators of Public Debt, 2017–37

	Projections							
	2017	2018	2019	2020	2021	2022	2027	2037
PV of Debt-to-GDP Ratio								
Baseline	25	28	31	33	34	34	32	28
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	25	24	24	26	28	29	27	23
A2. Primary balance is unchanged from 2017	25	29	33	39	45	49	65	89
A3. Permanently lower GDP growth 1/	25	28	32	34	35	36	37	44
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	25	27	31	32	33	33	30	24
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	25	28	33	35	35	36	34	29
B3. Combination of B1-B2 using one half standard deviation shocks	25	26	29	30	30	30	26	18
B4. One-time 30 percent real depreciation in 2018	25	36	39	40	40	40	37	33
B5. 10 percent of GDP increase in other debt-creating flows in 2018	25	34	37	39	40	40	38	32
PV of Debt-to-Revenue Ratio 2/								
Baseline	64	73	85	79	82	84	81	71
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	64	64	66	63	67	71	67	57
A2. Primary balance is unchanged from 2017	64	75	90	95	108	120	162	223
A3. Permanently lower GDP growth 1/	64	74	86	81	85	87	93	109
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	64	72	83	77	79	80	75	61
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	64	75	89	83	86	87	85	74
B3. Combination of B1-B2 using one half standard deviation shocks	64	69	77	71	73	73	64	46
B4. One-time 30 percent real depreciation in 2018	64	96	104	95	97	97	93	82
B5. 10 percent of GDP increase in other debt-creating flows in 2018	64	90	101	94	97	98	95	80
Debt Service-to-Revenue Ratio 2/								
Baseline	4	8	9	8	7	7	8	8
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	4	8	8	7	6	7	7	6
A2. Primary balance is unchanged from 2017	4	8	9	8	8	9	11	18
A3. Permanently lower GDP growth 1/	4	8	9	8	8	8	8	10
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	4	8	9	8	7	7	7	7
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	4	8	9	8	8	8	8	8
B3. Combination of B1-B2 using one half standard deviation shocks	4	8	9	8	7	7	7	6
B4. One-time 30 percent real depreciation in 2018	4	10	12	11	10	10	10	12
B5. 10 percent of GDP increase in other debt-creating flows in 2018	4	8	10	9	8	8	8	9

Sources: Country authorities; and staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.
2/ Revenues are defined inclusive of grants.

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